Avantel Ltd

Concall Tracker — Q1 FY2027 edition · Hyderabad-based defence electronics & satellite-communications company · NSE/BSE: AVANTEL

Not investment advice. This is an AI-generated reading of Avantel's own earnings/AGM transcripts and public financials, meant only to judge whether there is a durable earning trigger and whether management has been consistent. Do your own due diligence.

1. Snapshot

What the business does (in plain English): Avantel designs and builds its own high-end electronic products for India's armed forces and space agencies — software-defined radios (programmable military radios), satellite-communication terminals and ground stations, and specialised radars. It is a research-and-IP-led "product company": it spends heavily on R&D, patents the technology, and then sells hardware that was previously imported or bought only from state giants like Bharat Electronics (BEL) and HAL. Customers are almost entirely the Indian Navy, Army, Air Force, Coast Guard and ISRO/NSIL. It also runs a small healthcare-devices subsidiary (Imeds/"IMAX").

Metric	Value	Plain-English read
Market cap	₹4,345 cr	The whole company is valued at about ₹4,345 crore on the market.
Share price / P/E	₹163 / 170x	The stock trades at ~170 times last year's earnings — an extremely rich price that already assumes years of strong growth.
FY26 revenue	₹221 cr	Total sales for the year ended Mar-2026 — **down ~11%** from ₹248 cr in FY25 (sales actually shrank).
FY26 net profit	₹22 cr	Profit after tax — **down ~63%** from ₹60 cr in FY25 (profit more than halved).
FY26 operating margin	24%	₹24 of every ₹100 of sales was operating profit — down sharply from ~38% in FY24 and FY25.
ROCE / ROE	11.5% / 7.5%	Return on capital and on equity — both fell hard in FY26 (ROCE was ~37% a year earlier) as profit dropped.
Borrowings (Mar-26)	₹34 cr	Very little debt against ~₹356 cr of net worth — a debt-to-equity of roughly 0.1. Balance sheet is safe.

Six-year sales path: FY21 ₹78 cr → FY22 ₹105 cr → FY23 ₹154 cr → FY24 ₹224 cr → FY25 ₹248 cr → **FY26 ₹221 cr**. Profit path: ₹15 → ₹19 → ₹30 → ₹55 → ₹60 → **₹22 cr**. Five years of rapid growth were followed by a sharp FY26 setback.

2. Concall coverage

Avantel does **not** hold quarterly earnings calls. Its "concalls" are the transcripts of its **Annual General Meetings (AGMs)**, where the Chairman & Managing Director (Dr. Abburi Vidyasagar) walks shareholders through the year and answers written questions. Six annual transcripts were read in full, covering FY21 through FY26 — roughly six years / six calls.

AGM (FY covered)	Date	Read in full?
31st AGM (FY21)	May 2021	Yes — backstory
32nd AGM (FY22)	May 2022	Yes — backstory
33rd AGM (FY23)	May 2023	Yes — backstory
34th AGM (FY24)	30 May 2024	Yes
35th AGM (FY25)	23 Jun 2025	Yes
36th AGM (FY26)	24 Jun 2026	Yes — latest ★

Because these are annual meetings rather than quarterly calls, the promised-vs-delivered read is done year-on-year. The freshest signal is the 36th AGM (24 Jun 2026).

2b. Latest concall highlights — 36th AGM, FY26 (24 Jun 2026) ★

- **A bad results year, openly acknowledged.** FY26 revenue fell to ₹221 cr (from ₹248 cr) and net profit collapsed to ₹22.5 cr (from ₹60 cr) — a ~₹37 cr drop in profit. Management gave a detailed breakdown of the fall.
- **Why profit crashed:** R&D expensed rather than capitalised (~+₹7 cr), a jump in depreciation from new factories/equipment (~+₹7 cr), a heavier tilt to **low-margin civilian work** (fishing-boat satellite transponders for NSIL — a PM's project, ~₹9 cr revenue at thin margins), ~₹5 cr of new-facility overheads and ~₹2.6 cr higher finance cost from delayed government receivables. Management frames "more than ₹14 cr" of this as **investment for the future shown as expense.**
- **The headline positive — first-ever multi-year visibility.** For the first time in the company's history, management claims **3-year revenue visibility** on an order book of about **₹1,000 cr** (railways, SATCOM ground stations, IMD wind-profile radars, a ~₹100 cr DEAL order). It guides roughly ₹300 cr → ₹375–400 cr → ₹500 cr, i.e. ~**25% annual growth**, and this excludes upside from SDRs, iDEX projects and NSIL satellite ground stations.
- **New capacity going live & a marquee order.** The rights-issue-funded Vijayawada facility is to be inaugurated in early September 2026; its first job is **9 satellite ground stations for NSIL** in collaboration with France's Safran (>50% indigenous, over 18 months). The 5 iDEX defence-innovation projects are ~90% done and go for user trials shortly; new S-band terminal orders (a ~₹100 cr hub plus a DEAL Dehradun order for the Army) were flagged.
- **Healthcare — a change of tune.** The Imeds subsidiary got 5 device certifications, but the Board is now **exploring a strategic investor / possible majority-stake sale** to move Imeds out from under Avantel and protect the parent's balance sheet. Target for the core company: ₹1,000 cr turnover by 2030. Tone: confident about the pipeline, defensive about the profit drop.

2c. Business mix & capacity

Domestic vs export: Effectively **~100% domestic** — sales are almost entirely to Indian defence services and government bodies (Navy, Army, Air Force, Coast Guard, ISRO/NSIL, Railways, IMD). No meaningful export share is broken out; management only aspires to export software-defined radios "eventually." In FY26 roughly **70–80% of revenue came from defence** (mostly proprietary, single-vendor products), with the rest civilian/ space work. (In plain terms: this is a play on Indian government/defence spending, not on exports.)

Capacity utilisation: Not disclosed. Management explicitly declined to give a utilisation number, saying that for an IP-based product company with a wide product mix it is not meaningful — "the same infrastructure can make ₹1,000 cr, ₹1,500 cr or ₹2,000 cr." Two big facilities were added recently — the ECT R&D centre in Hyderabad and the new ~100,000 sq ft Vijayawada plant (antennas + satellite ground stations) — which is precisely why depreciation and overheads jumped in FY26. (Read: there is ample physical headroom to grow; the constraint is winning and executing orders, not floor space.)

3. Earning-trigger thesis ★

The core story management keeps telling: Avantel is transforming from a small, niche satcom supplier into a broad-based **defence-electronics platform**, riding India's "self-reliance" (Atmanirbhar) push to replace imports and BEL/HAL supply. Three legs drive it: **(1) Software-Defined Radios (SDRs)** — a market management sizes at ~₹3,000 cr/year across the three services, where it aims for a top-3 position / ~20% share; **(2) satellite ground stations & terminals** — the Safran-partnered NSIL order and the GEO/ LEO satellite build-out; and **(3) five iDEX defence-innovation projects** where, once trials pass, Avantel becomes the single qualified vendor. The proof management points to is the jump in its order book to ~₹1,000 cr and its first-ever 3-year, ~25%-growth visibility.

Trigger leg	What management said	Evidence so far	Horizon	Strength
Software-defined radios (SDRs)	~₹3,000 cr/yr market; aim top-3 / ~20% share; full range HF–L-band across platforms	Already supplies HF SDRs to Navy; selected (L1) by DEAL Dehradun vs BEL/L&T; range still in development	Ramps from FY27–28	Moderate — real capability, but big revenue still unproven
Satellite ground stations & terminals	Safran partnership; NSIL 9-station order; S-band hub ~₹100 cr; GEO/LEO growth	Order in hand; Vijayawada plant to inaugurate Sep-26 to execute it	Next 18 months+	Moderate–Strong — concrete order now landing
5 iDEX innovation projects	Single-vendor once developed; huge Army/ Navy demand	~90% complete; user trials "from next month"	Orders from FY27 onward	Moderate — close to trials, revenue not yet booked
Order book / visibility	~₹1,000 cr book; first-ever 3-yr visibility; ~25% CAGR	Book grew from ~₹210 cr (FY25) to ~₹1,000 cr claimed (FY26)	FY27–FY29	Moderate — visible & improving, but management-stated and margins unproven

Net read: The trigger is **concrete and clearly improving** (the order book genuinely grew, and visibility lengthened for the first time), but almost all of the value is **back-ended** — it depends on trials passing, new plants ramping and margins recovering. FY26 showed how quickly Avantel's profit can go backwards, and the stock is priced at ~170x earnings, leaving no room for slippage.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 AGM (May-24)	Results to show from FY27; "quantum jump" from FY27–28; FY25–27 will be "stable/flat"; ECT facility live by Oct-24; top-5 in defence comms	ECT facility built; the flat-patch warning proved directionally right (FY26 was weak)	**Partly / Too-early**
FY25 AGM (Jun-25)	Explicitly: "don't expect growth in FY26–FY27; it will be stable, steep growth from FY27–28"; iDEX 4-of-5 within 12–16 months; rights-issue plant "next year"	FY26 didn't just stay flat — revenue **fell 11%** and profit **fell 63%**; iDEX now ~90% done; plant inaugurating Sep-26	**Partly — worse than the "stable" guided**
iDEX projects (FY22→FY26)	Win 5 projects, develop, become single vendor, trials in ~1–2 yrs	All 5 won; steadily progressed to ~90% and heading to trials	**Delivered / On-track**
Satellite ground stations / Safran	Enter space segment; partner Safran; win NSIL stations	NSIL 9-station order secured; execution now beginning	**Delivered**
NSE listing (FY24)	Complete NSE listing in FY25	Done — now on both NSE & BSE	**Delivered**
Healthcare / Imeds (FY24→FY26)	FY24: "next engine of growth," ₹100 cr by 2030, break-even soon	FY26: got 5 certifications but now wants to **find a strategic investor / sell majority** and take it out of Avantel	**Dropped / Story reversed**

Narrative drift: On the **core defence business the story has been unusually steady** for 3+ years — the same SDR/space/iDEX roadmap, and — to management's credit — they openly **pre-warned** that FY25–FY27 would be a flat, investment-heavy patch before a jump. That honesty counts. Two things pull against it: (a) FY26 came in **worse than the "stable" they guided** — an actual sales decline and a profit crash, driven by choices (expensing R&D, low-margin civilian orders, front-loaded capex) that were explained only after the fact; and (b) the **healthcare narrative reversed completely**, from "next growth engine" to "let's sell it out of the company." Management also consistently refuses to give hard margin or segment numbers ("sensitive/competitive"), which limits accountability.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE (leaning yes)

There **is** a concrete, still-live driver: an order book that genuinely grew to a claimed ~₹1,000 cr, first-ever 3-year visibility, a marquee NSIL/Safran ground-station order now executing, iDEX projects at ~90%, and a strong government self-reliance tailwind. But it is not yet a *proven* earning trigger — FY26 profit fell 63%, the biggest legs (SDRs, iDEX) are still pre-revenue and depend on trials passing, the ₹1,000 cr book is management-stated, and margins must recover for any of it to reach the bottom line. Real and improving, but unproven and heavily back-ended — hence MAYBE, not yet YES.

Management consistent? → MAYBE (leaning yes)

The core defence roadmap has held steady for years, management delivered on the concrete promises it can control (iDEX progress, ECT facility, NSE listing, Safran/NSIL order), and — unusually — it **warned in advance** that these years would be flat. That is genuine transparency. It falls short of a clean YES because FY26 undershot even the "stable" guidance (a decline plus a profit crash), the healthcare story did a full U-turn from growth engine to divestment candidate, and management keeps hard margin/segment numbers deliberately vague. Mixed but mostly honest — MAYBE.

Sources: Avantel Ltd AGM transcripts FY21–FY26 (Screener.in) and Screener.in financial snapshot. This is not investment advice; do your own due diligence.